COMPREHENSIVE EXAM NOTES

Entrepreneurship & Intellectual Property Rights

Unit 1 Complete Study Material

UNIT 1: INTRODUCTION TO ENTREPRENEURSHIP

1.1 Definition & Scope of Entrepreneurship

Entrepreneurship is the art of starting a business — typically a startup offering creative products, processes, or services. It is an activity full of creativity and opportunity-seeking behaviour.

Key Definitions

Entrepreneur: A creator/designer who designs new ideas and business processes according to market requirements and personal passion.

Entrepreneurship: The process of identifying an unmet need or problem, creating solutions, and organizing resources to deliver value. Includes opportunity recognition, resource mobilization, and risk management.

Origin: From French 'entreprendre' meaning 'to undertake' — one who plans for all risks and responsibilities of a new business to earn profits.

> **EXAM TIP: Entrepreneurship = Innovation + Risk-taking + Value Creation + Resource Organization**

Scope of Entrepreneurship

- Can involve a new method of production
- A new product or service
- A new source of raw material
- A new market (domestic or international)
- Any innovative business model

1.2 Importance of Entrepreneurship

8 Key Benefits

1. **Creation of Job Opportunities**
   - Entrepreneurs start new firms → more employment at all levels
   - They employ others while expanding their own businesses
2. **Creation of New Businesses**
   - Single-person ownership leading to diverse business initiatives
   - All big corporations began as small initiatives
3. **Innovation**
   - Generates new wealth-producing resources or enhances existing ones
   - Creates new product lines, improves quality, ideas, technologies, markets
4. **Better Standard of Living**
   - Creates wide range of commodities to meet specific customer needs
   - Generates income → improves family standard of living
5. **Supports Research & Development**
   - Entrepreneurs fund research organisations and testing institutions

    - Enables new discoveries and advancements
6. **Promotes Community Development**
    - Finance charities, reduce slums, improve sanitation and infrastructure
    - Promotes community stability and quality of life
7. **Increases Productivity**
    - Competition forces businesses to lower prices, improve quality, reduce costs
    - Encourages innovation and offers more value to customers
8. **Creation of National Wealth**
    - Generates wealth, pays taxes, contributes to GDP
    - Opens new markets → increases national income

Also: Contributes to Social Welfare — provides income to marginalised sections of society, promotes inclusion and social integration.

1.3 Techniques for Identifying Entrepreneurial Opportunities

- Market research and analysis of consumer needs
- Identifying gaps in existing products/services
- Observing trends (technology, social, economic)
- Networking and brainstorming with others
- Ideation Workshops and Hackathons
- Reverse engineering competitor products
- Feedback from existing customers
- Studying emerging technologies (AI, IoT, blockchain)

1.4 Types of Entrepreneurs

By Innovation Style

Type	Description	Key Feature
Innovative	Introduces completely new products, methods, markets	Creates change, risk-taker, pioneer
Imitative	Copies innovations already done by others, adapts them	Follower, risk-minimizer
Fabian	Very cautious, adopts change only when unavoidable	Conservative, tradition-bound
Drone	Refuses to adopt changes even at the cost of losses	Rigid, resistant to change

By Business Type

- The Inventor — Creates the next big thing; sees big picture, imagines products that don't exist yet

- The Small Business Owner — <500 employees; local restaurants, consultancies; hard work + team leadership
- The Online Entrepreneur — Uses internet (Etsy, blogs, software); direct relationship with clients online
- The Home Business Owner — Uses home as base (garage, basement); family-run plumbing, artisan makers

Entrepreneurial Development Models

- Large Business Entrepreneurship — Apple, Samsung; massive firms sustaining innovative products via R&D
- Small Business Entrepreneurship — 75% of businesses; capital from friends/family; local manpower (café, salons, grocery)
- Social Entrepreneurship — Focus on social cause, not just profit; NGOs, microfinance, co-operatives, educational programs
- Scalable Startup Entrepreneurship — Funded by venture capitalists after initial success; vision to change the world (e.g., Facebook)
- Innovation Entrepreneurship — Finds market gaps; uses technology to make life easier (iPhone, Tesla)

1.5 Characteristics & Traits of Successful Entrepreneurs

Core Traits (VRITL)

- Vision — Ability to foresee opportunities and chart a strategic path
- Risk Tolerance — Willingness to accept uncertainties while pursuing goals
- Innovation — Creativity in solving problems and developing unique solutions
- Leadership — Inspiring and guiding teams toward achieving business objectives
- Self-Motivation — Intrinsic drive to succeed even in challenging conditions

7 Key Qualities of a Successful Entrepreneur

9. **Self-Motivation — Push yourself without external pressure; dedicated to plan even without immediate paycheck**
10. **Understand What You Offer — Know your product, market fit, position (high-end/budget), and when to adjust**
11. **Take (Calculated) Risks — Playing safe rarely leads to success; understand risk-reward before acting**
12. **Know How to Network — Build connections; partnerships can accelerate success**
13. **Basic Money Management — Understand finances; run business on sound principles even with an accountant**
14. **Flexibility — Adapt to change; flexible thinking for creative problem-solving**
15. **Passion — Fuels motivation during discouragement; drives forward momentum**

Additional Skills

- Discipline — Work even when you don't feel like it; long hours as needed
- Curiosity — Always want to learn more; change opinions with new information

- Creativity — Solve problems innovatively, often with limited resources
- Willingness to Try Things — Experiment, learn from failures, calculate risks
- Honesty — Builds reputation, employee trust, client confidence, community support
- Always Have a Plan — Use SMART goals (Specific, Measurable, Achievable, Realistic, Time-Bound)

1.6 Common Characteristics of Successful Entrepreneurs (Detailed)

- Self-Motivation — Most important trait; answerable to no one else; must keep moving forward
- Understanding What You Offer — Know your position: high-end, middle-of-road, or bargain
- Risk-Taking — Calculated risks, not reckless; be ready for solutions to fail
- Networking — Who you know matters; recognize partnership opportunities
- Money Management — Know where you stand; run on sound financial principles
- Flexibility — Adopt changes in processes/products; essential for problem-solving
- Passion — Deeply feel about product/service/mission; fuel for entrepreneurship

1.7 Role of Entrepreneurship in Economic Development

Six Major Roles

a) Driving Innovation

- Introduces new technologies, products, services → stimulates progress
- Creates competitive advantages; develops new markets

b) Employment Generation

- Startups and new businesses = key sources of job creation
- SMEs provide opportunities for all skill levels; absorb underutilized labour

c) Wealth Creation & Distribution

- Mobilizes savings and investments; generates income flowing through economy
- Enables equitable wealth distribution across regions

d) Balanced Regional Development

- Mitigates regional disparities by developing industries in underdeveloped areas
- Infrastructure development (roads, electricity) as spillover effect

e) Promoting Social Change

- Social entrepreneurs tackle poverty, education, healthcare
- Develop sustainable solutions for marginalized communities

f) Economic Dynamism

- Reduces dependency on traditional industries
- Disruptive models keep economies dynamic and resilient

1.8 Myths About Entrepreneurship (10 Common Myths)

Myth	Reality

Entrepreneurs are born that way	Entrepreneurship is a learned skill; anyone can become one with the right skills
Only a good idea is required	Ideas need proper execution + planning, talent, leadership, communication
Starting a business = freedom	Entrepreneurs exchange old constraints for new demands; work is all-consuming
Business quickly leads to wealth	Success takes time; timing expansion and sustaining growth are critical challenges
Only money motivates employees	Millennials prefer enjoyable work over higher pay; culture matters as much as salary
Businesses either flourish or fail	Many initially struggling companies go on to achieve healthy growth with patience
All responsibility falls on entrepreneur	Delegation and collaboration are essential; doing it all alone leads to burnout
There is a secret key to success	No single key; success requires a 'keychain' of ideas, people, resources, timing
Need an MBA to run a business	Technical, engineering, or no degree can also lead to successful ventures
Quitting is for losers	Knowing when to walk away is critical; failure provides important lessons

1.9 Entrepreneur vs. Intrapreneur

Aspect	Entrepreneur	Intrapreneur
Definition	Individual who starts a new venture independently	Innovator working within an existing organization
Risk	Takes personal financial and business risks	Risks are borne by the organization
Resources	Builds resources independently from scratch	Leverages existing organizational resources
Autonomy	Operates independently with full freedom	Functions under organizational policies
Reward	Retains all profits or absorbs all losses	Shares rewards/bonuses with the company
Capital	Self-funded or externally funded	Uses company's capital
Accountability	Accountable to self, investors, market	Accountable to management hierarchy

1.10 Role of Entrepreneurial Teams

Why Teams Matter

- Skill Diversification — Teams bring varied expertise and perspectives
- Collaborative Problem-Solving — Synergies in decision-making and innovation
- Shared Workload — Efficient delegation of responsibilities

Team Dynamics

- Effective teams share clear goals, trust, and open communication
- Must manage conflicts and align personal aspirations with organizational objectives

Role in Scaling Ventures

- Essential for handling complexities of growth: resource management, market expansion
- Ability to adapt strategies is crucial for long-term success

Evaluation by Investors

Investors prioritize strong and cohesive teams as they significantly impact a venture's success. A great team can execute a mediocre idea better than a poor team with a brilliant idea.

1.11 Emerging Trends in Entrepreneurship

9 Key Trends

16. **Digital & Technological Transformation — AI, IoT, blockchain, digital platforms; e-commerce, fintech, SaaS redefining industries**
17. **Social & Sustainable Entrepreneurship — ESG principles; focus on climate change, poverty, social challenges**
18. **Diversity in Entrepreneurship — Growth in women, minority, youth entrepreneurs; microfinancing and govt programs**
19. **Globalization — Operating in international markets; cross-border partnerships; diaspora networks**
20. **Funding Innovations — Crowdfunding, angel investing, venture capital, peer-to-peer lending platforms**
21. **Corporate Entrepreneurship (Intrapreneurship) — Innovation within established firms**
22. **Remote Work & Collaboration — Virtual teams across borders; diverse skill sets contributing globally**
23. **Agile Business Models — Flexibility and adaptability; quick responses to market changes**
24. **Emphasis on Customer Experience — Customer-centric approaches; leveraging technology for feedback**

1.12 Entrepreneurial Leadership Styles (6 Types)

Style	Description	Works Best When	Drawback

Laissez-Faire	Full freedom to team on how/when to do work; feedback only when needed	Team is highly trained, skilled, and self-motivated	Low production if team lacks self-discipline
Autocratic	Leader makes all decisions without team consultation; unidirectional	Quick decisions needed; team input not essential	Demoralizing; reduces initiative
Transactional	Tasks set jointly; rewards for completion, 'punishment' for falling short	Incentive-driven environment; clear expectations needed	Can seem amoral; poor for creative work
Democratic (Participative)	Team input valued in decisions; leader makes final call	Creative work; long-term strategy; non-crisis times	Slow; not suitable during crisis
Pacesetting	High performance standards; leader leads by example; expects same from team	Team is already motivated and skilled	Can overwhelm team; reduces morale of slower performers
Transformational	Shared vision, effective communication, accountability; inspires team	Any context; considered best leadership style	Requires high emotional intelligence from leader

1.13 E-Cells on Campus

- E-Cell acts as bridge between students, staff, research labs, Innovation Centre, and alumni
- Helps students identify business ideas and execute them

E-Cell, IIT Bombay (founded October 1998):

  - Primary entrepreneurship body of IIT Bombay, managed entirely by students
  - Annual events: Eureka! (business plan competition), E-Summit (footfall >20,000)
  - FInCoF Platform — online portal for startups to hire freelancers/interns/co-founders from IIT Bombay
  - Startup Expo — innovative startups meet investors and customers
  - One of founding members of the National Entrepreneurship Network

1.14 Building & Growing Family Businesses

Key Principles

25. **Clarify Roles & Responsibilities — Based on skills, not family ties; maintain boundaries between family and business**
26. **Develop a Succession Plan — Identify successors early; train and mentor them; phased transition**
27. **Promote Open Communication — Regular family meetings; transparent dialogue; address conflicts proactively**
28. **Balance Tradition & Innovation — Respect legacy while embracing new opportunities**
29. **Professionalize Management — Formal governance structures; seek external advisors for finance/legal/strategy**
30. **Focus on Long-Term Sustainability — R&D investment, technology adoption, market diversification**

31. **Preserve Family Harmony — Conflict resolution mechanisms; prioritize family relationships**
32. **Celebrate Achievements — Reinforce shared values; build camaraderie**

Common Challenges in Family Businesses

- Conflict Resolution — Family disputes over decisions; use neutral mediators
- Succession Planning — Emotionally charged; select successors by merit not family ties
- Professionalization & Governance — Implement formal policies and oversight boards
- Balancing Family & Business Priorities — Shared vision and values for alignment
- Managing Growth & Innovation — Embrace innovation while preserving core values
- Wealth Management & Financial Planning — Estate planning, tax optimization across generations

1.15 Famous Entrepreneurs — Case Studies

Entrepreneur	Key Achievement	Notable Fact
Alexander Graham Bell (1847–1922)	Invented the telephone (1876); founded Bell Telephone Company	30 patents; originally from Scotland; partnered with Thomas Watson
Steve Jobs	Co-founded Apple; revolutionized computing, music, mobile technology	Founded Apple at 21 in a garage with Steve Wozniak; set up Pixar; returned as CEO in 1997
Walt Disney	Created Mickey Mouse; founded Disney Bros. Studio; built Disneyland	Declared bankruptcy early on; moved to Hollywood with brother after failure
Bill Gates	Co-founded Microsoft (1975); world's largest software company	Started 'Traf-O-Data' in high school with Paul Allen; dropped out of Harvard
Jeff Bezos	Founded Amazon (1995); pioneered e-commerce; started as online bookstore	Youngest VP at a Wall Street firm before quitting; worldwide sensation in one month
Larry Page	Co-founded Google (1998) with Sergey Brin at Stanford	Search engine listed results by popularity; Google now owns YouTube
Mark Zuckerberg	Founded Facebook (2004) from Harvard dorm room	Created 'Zucknet' messaging program at age 12; became one of youngest billionaires

1.16 Passion, Values & Business Knowledge

Role of Passion

- Fuels motivation and perseverance through challenges and setbacks
- Inspires creativity; passionate entrepreneurs think outside the box

- Attracts talent and resources; people gravitate to genuine passion
- Enhances resilience in face of uncertainties

Role of Values

- Guiding principles for decision-making and behaviour
- Define purpose and mission; reflect ethical standards and social responsibility
- Build trust and loyalty with stakeholders
- Ensure alignment with long-term ethical objectives

Getting to Know Your Business (10 Areas)

33. Mission & Vision — Purpose, long-term aspirations, values driving decisions
34. Products & Services — Unique selling points, value proposition, customer feedback loops
35. Target Market — Demographics, psychographics, needs, pain points
36. Competitive Landscape — Competitor strengths/weaknesses; differentiation opportunities
37. Business Model — Revenue streams, cost structure, scalability, sustainability
38. Financial Performance — Revenue, expenses, margins, cash flow, forecasts
39. Operational Processes — Streamlined workflows, remove bottlenecks, implement best practices
40. Organizational Structure — Roles, responsibilities, reporting lines; culture of accountability
41. Customer Feedback & Satisfaction — Surveys, reviews, satisfaction metrics
42. Regulatory & Legal Compliance — Know applicable laws; implement compliance procedures

1.17 Problems Faced by Entrepreneurs & Capacity Building

6 Major Problems

43. **Access to Capital — Securing funding is the #1 challenge, especially for new entrepreneurs**
44. **Market Competition — Intense competition in saturated markets; need strategic differentiation**
45. **Regulatory Barriers — Complex regulations impede entrepreneurial activities**
46. **Lack of Mentorship — Without experienced guidance, navigating challenges is harder**
47. **Risk Management — Lack of effective risk strategies jeopardizes venture sustainability**
48. **Market Research — Inadequate understanding leads to products that miss consumer demands**

Capacity Building Solutions

49. Education & Training — Business planning, financial management, marketing skills
50. Access to Finance — Affordable financing options through institutions and programmes
51. Mentorship Programs — Connect experienced with new entrepreneurs; knowledge transfer
52. Networking Opportunities — Events and platforms for collaboration and shared learning
53. Incubators & Accelerators — Resources, mentorship, and conducive growth environment
54. Government Policies — Reduce regulatory burdens; offer incentives for entrepreneurship
55. Technology Adoption — Streamline operations, reach wider markets, stay competitive

KEY EXAM POINT: Addressing challenges + capacity building = empowered entrepreneurs → innovation → economic development. Requires collaborative efforts from government, private sector, and educational institutions.

UNIT 4: INTELLECTUAL PROPERTY RIGHTS — TRADE SECRETS & TRADEMARKS

UNIT 4 covers: Trade Secrets (definition, protection, tools, Trade Secret vs Patent) and Trademarks (types, registration, infringement, passing off, case studies)

PART A: TRADE SECRETS

4.1 Introduction to Trade Secrets

Competitive strength depends on innovative techniques and know-how. Not all such knowledge can be protected by patent law because:

- Patents are available only for inventions in technology (not business conduct)
- Some technical info may lack novelty or inventive step needed for a patent
- Patent applications pending disclosure need protection during processing

All such information can be classified as a TRADE SECRET.

Famous Example: The Coca-Cola formula — one of the most successfully guarded trade secrets in the world.

Small-scale examples: A local bakery's cake recipe; family recipes passed down generations.

4.2 What is a Trade Secret?

A trade secret can be ANY formula, pattern, idea, process, physical device, or compilation of information which provides its owner a competitive advantage in the market.

DEFINITION: A trade secret must be treated such that it is NOT available to others (public or competitors) unless obtained by theft or improper acquisition.

Examples of Potential Trade Secrets

- Recipes and chemical formulas
- Survey methods and confidential data
- Computer programmes
- Manufacturing processes
- Marketing and financial strategies
- New inventions for which patent application is not yet filed
- Customer lists with critical comments
- Negative know-how (what does NOT work)

Determining Factors for Trade Secret Status

56. Extent to which information is known to the public or the trade
57. Amount of effort and money expended in developing the secret
58. Value of the information to the trader and to competitors
59. Extent of measures taken to guard the secrecy
60. Ease or difficulty with which information could be properly acquired by others

Subjective vs Objective Requirements

Subjective:

- Trader must have considerable interest in keeping information secret
- Must show intention to have information treated as a secret
- Specific measures to maintain secrecy may be required

Objective (from TRIPS Agreement, Art. 39):

- Information must NOT be generally known to experts or competitors
- Must have commercial value because it is a secret
- Must be subjected to reasonable steps to keep it secret
- Even pending patent applications are trade secrets until published

4.3 Why Protect a Trade Secret?

- To protect information that cannot be protected by patent (e.g., an idea not yet executed)
- To protect information that cannot be protected by copyright unless expressed
- Customer lists, negative know-how, in-progress product development cannot be disclosed through other IPR tools
- Trade secrets protect commercially crucial information without formal registration

4.4 Trade Secret vs. Patent — Detailed Comparison

Aspect	Trade Secret	Patent
Duration	Unlimited — can be held indefinitely	20 years from filing date
Registration	No registration needed; no formalities	Formal application, examination, grant process
Cost	Cheaper to maintain if secrecy is achievable	Renewal fees in every country of protection
Disclosure	Information remains private	Full public disclosure upon application/grant
Protection Type	No exclusive right; only against wrongful acquisition	Exclusive right to prevent anyone from using the invention
After Expiry	Remains protected as long as secrecy is maintained	Information enters public domain — anyone can use it freely
Reverse Engineering	Vulnerable — someone can reverse engineer and freely use it	Even if reverse engineered, still protected within patent period

Enforcement	Difficult; protection varies by country; generally weak	Stronger; clear rights framework internationally
Best For	Processes difficult to reverse engineer; non-patentable innovations	Products/inventions where disclosure is acceptable

When to Choose Trade Secret Protection (5 Situations)

61. **When the secret is NOT patentable**
62. **When information CAN be kept secret for >20 years (longer than patent protection)**
63. **When the trade secret is not valuable enough to justify patent costs**
64. **When the secret relates to a manufacturing PROCESS (harder to reverse engineer) rather than a product**
65. **When a patent application has been filed and is awaiting grant**

IMPORTANT: Trade secret protection is generally WEAK in most countries. Courts may require significant and costly efforts to prove and preserve secrecy.

4.5 Tools to Protect a Trade Secret

TRIPS Agreement Standards (Art. 39)

- Information must be secret (not generally known or accessible to those who deal with such info)
- Must have commercial value because it is a secret
- Must be subjected to reasonable steps to keep it secret

Practical Protection Mechanisms

66. **Trade Secret Policy — Limit the number of people who know the secret; ensure all aware it is confidential**
67. **Employee Agreement — Confidentiality agreements with employees within contracts (Note: employees legally owe confidentiality even without formal agreements in many countries)**
68. **Non-Disclosure Agreements (NDAs) — Sign NDAs with business partners before sharing confidential information**
69. **Adequate Documentation — Duty to maintain confidentiality continues even AFTER employment ends; may be limited to a certain time period after leaving**
70. **Security Systems — Take all necessary physical and digital measures to protect trade secrets (access controls, passwords, secure facilities)**

Note: Trade secrets are widely used by SMEs (Small & Medium Enterprises), many of which rely almost exclusively on trade secrets for IP protection.

PART B: TRADEMARKS

4.6 Introduction to Trademarks

Trademarks existed 3,000+ years ago — Indian craftsmen engraved signatures on artistic creations before exporting to Iran. The FORTIS Roman pottery brand was so famous it was counterfeited. Today, trademarks are in common usage globally.

Formal Definition

A trademark is a mark capable of being represented graphically and which is capable of distinguishing the goods or services of one person from those of competitors.

Two Main Characteristics

- Must be DISTINCTIVE — able to distinguish goods/services
- Should NOT be DECEPTIVE — must not mislead consumers

4.7 Kinds/Types of Trademarks

Type	Description	Examples
Logo	Pictorial representation; animals, birds, landscapes, buildings	McDonald's double arches, Apple's bitten apple
Letter	Identity created from letter forms; inherently distinctive	IBM, GM, LG
Numerals	Numbers registered as trademark upon evidence of use	555
Symbol	Visual depiction of manufacturer/company; gives identity	BMW, Benz
Brand	Mark branded on goods; symbol constitutes the trademark	Cycle brand agarbathi, Ship brand for matches
Label/Ticket	Composite mark with devices, words, painted on paper; attached to goods	Coca-Cola label on bottle
Name	Word signifying a name/surname/abbreviation/sect/caste/tribe	Cadbury, Nokia
Colour	Single colour or combination; protectable if not descriptive of product nature	Green for headphones (protectable); Green for eco-products (NOT protectable)
Sound	Sequence of notes registered as trademark	NBC chime; IBM's e-commerce sound signature (2001)
Smell	Scent registered as trademark (debatable)	Smell of roses applied to tyres (Sumitomo Tyres)

4.8 Different Forms of Trademarks

Collective Marks

- Distinguishes goods/services of MEMBERS of an Association from others
- Members are authorized users; use by members = use by proprietor
- Cannot be registered if likely to deceive or confuse the public that it's not a collective mark
- Removal grounds: manner of use is misleading to public OR proprietor failed to ensure proper observance of regulations

Certification Marks

- Certify goods in respect of: origin, material, mode of manufacture, quality, accuracy, or other characteristics
- Distinguish certified goods from competing goods without the certification
- Examples: ISI, Agmark, Woolmark, Sanforized
- Benefit the consumer — guarantee certain quality standards
- A certification mark need NOT be distinctive for registration
- CANNOT be registered in the name of a person who carries on a trade in goods of the kind certified
- Registrar considers: competence of applicant, satisfactory draft regulations, public advantage

Well-Known Marks / Famous Marks

- Trademarks with worldwide renown — consumers identify without effort
- Examples: Sony, Versace, Louis Vuitton
- Special protection under Paris Convention, TRIPS Agreement, and national laws
- Factors to determine if 'well-known': degree of public knowledge and recognition; duration, extent, geographical area of use
- Protected even against dissimilar goods and services to prevent unfair advantage

4.9 Characteristics of a Good Trademark

- Must be DISTINCTIVE — either inherently (invented words e.g. RIN) or acquired through usage (e.g. TATA, Reliance)
- If a word: short, easy to spell, pronounce, and remember
- If a device: expressible in a word
- Preferably an invented word (e.g., Zen, Avon, RIN, Flex)
- Distinctiveness alone is not sufficient — other traders must not legitimately need the same mark

4.10 Registrability of Trademarks

Registrable Trademarks — Must have AT LEAST ONE of:

71. Name of a company/individual/firm in a particular or special manner
72. Signature of the applicant for registration
73. One or more invented words

74. One or more words with no direct reference to character or quality of goods
75. Any other distinctive trademark
76. Trademark that has acquired distinctiveness through prolonged use

Note: A PART of a trademark can also be registered separately if it satisfies registration requirements.

4.11 Non-Registrable Trademarks

Absolute Grounds for Refusal

- Not distinctive; exclusively customary marks in current language/practice
- Marks that only describe kind, quality, quantity, purpose, values, geographical origin, or time of production
- Identical or deceptively similar to an already registered trademark for the same goods
- Contrary to law; disentitled for protection in court
- Scandalous or obscene matter
- Likely to hurt religious susceptibilities of any class or section
- WHO international non-proprietary names for medicines (or deceptively similar)

Shape Trademark Restrictions — Cannot Register if Shape:

- Results from nature of goods themselves (e.g., shape of an apple for apples)
- Is necessary to obtain a technical result (functional shapes)
- Gives substantial value to the goods

Additional Non-Registrable Categories

- Commonly accepted name of a chemical element or compound
- Geographical name, surname, personal name, or common abbreviation
- Name of a sect, caste, or tribe in India

4.12 Procedure for Registration of Trademarks in India

Key Bodies

- Office of the Registrar of Trademarks maintains the Trademark Registry
- Controller General of Patents & Designs = also the Registrar of Trademarks
- Register contains: all registered TMs; names, addresses, proprietors; assignments; conditions; registered users

Who Can Apply

- Any person claiming to be proprietor: individual, firm partners, Corporation, Government Department, trust, or joint applicants

Application Process

77. File prescribed form in Trademark Registry office within whose territorial limits applicant's principal place of business lies
78. Classify goods/services per international classification (single application covers multiple classes; separate fees per class)
79. Include representation of mark (+ 5 additional representations)
80. Registrar accepts completely, accepts with amendments, or rejects (acceptance can be withdrawn if error found)
81. Advertisement in Trademarks Journal after acceptance — public gets opportunity to oppose
82. Opposition period: 3 months from advertisement date (extendable by 1 month)
83. If no opposition, or opposition resolved in applicant's favour → registration

Time Period

Registration is for 10 YEARS. Can be renewed INDEFINITELY upon payment of prescribed renewal fees. Registration is PRIMA FACIE evidence of validity of the trademark.

4.13 Deceptively Similar Trademarks

A trademark is deceptively similar to another if it so nearly resembles that other mark as to be likely to deceive or cause confusion.

Factors Considered in Determining Similarity

- Nature of the marks
- Degree of resemblance
- Nature of goods in which marks are likely to be used
- Similarity in nature, character of goods
- Nature of the potential class of consumers
- Visual and phonetic similarity

4.14 Rights of the Trademark Owner

9 Key Rights upon Registration

84. Exclusive right to use the trademark for goods/services for which it is registered
85. Right to obtain relief (injunction) if a similar mark is used on same, similar, or dissimilar goods/services
86. Forbids others from using the registered or confusingly similar mark for same/similar goods
87. Prevents registration of same or confusingly similar mark for same/similar goods by others
88. Prevents unauthorized use in business papers and advertising
89. Can restrict import of goods bearing a similar mark
90. Right to restrain use of TM as trade name or part of a trade name in same goods/services
91. Retains all common law rights available to unregistered marks (passing off)
92. Right to assign or transmit the trademark

Exceptions to Rights

- Rights of Prior User — Person B using TM earlier than registrant A retains use rights even after A's registration
- Rights to Use Own Name — Cannot prevent bona fide use of a person's own name or place of business
- Concurrent Use — TM used concurrently in same jurisdiction is not affected by another's registration

4.15 Assignment & Licensing of Trademarks

Assignment

- Must be in WRITING (oral assignment is not valid)
- Permanent transfer of trademark ownership
- Can be with or without goodwill
- NOT revocable once done
- Person entitled by assignment must apply to Registrar to register as new proprietor

Licensing

- Must be in WRITING
- Temporary transfer of trademark rights
- License ceases if no connection in course of trade with registered proprietor OR becomes deceptive
- REVOCABLE

Aspect	Assignment	License
Nature	Permanent transfer	Temporary transfer
Revocability	NOT revocable	Revocable
Ownership	Ownership passes to new owner	Ownership stays with original proprietor
Preference	Preferable with goodwill	Better with quality control over goods

4.16 Trademark Infringement & Passing Off

Infringement

Trademark infringement = violation of exclusive rights of a registered trademark WITHOUT authorization of the owner/licensee.

- Occurs when infringer uses identical or confusingly similar mark for identical or similar products/services
- Owner may commence legal proceedings against infringer

Passing Off

Passing off = occurs in the case of UNREGISTERED brand names; owner has preferred rights due to long and continuous use.

- Cannot use infringement action for unregistered marks — use Passing Off action instead

5 Essential Characteristics of Passing Off Action

93. **MISREPRESENTATION — false representation made**
94. **Made by a PERSON IN THE COURSE OF TRADE**
95. **To PROSPECTIVE/ULTIMATE CUSTOMERS of goods or services**
96. **CALCULATED TO INJURE the business or goodwill of another trader**
97. **CAUSES ACTUAL DAMAGE to a business or goodwill (must be proved)**

KEY DISTINCTION: Infringement = Registered TM violated → Statutory remedy. Passing Off = Unregistered TM violated → Common Law remedy.

Jurisdiction

- Infringement suits: District Court OR High Court (within whose jurisdiction plaintiff resides/works)
- Passing off suits: ONLY District Court (within whose jurisdiction DEFENDANT resides or cause of action arose)

Remedies Available

- Permanent and interim injunction
- Damages or account of profits
- Delivery of infringing goods for destruction
- Cost of legal proceedings
- Ex parte interim orders (without notice to other party)
- Appointment of local commissioner for search, seizure, inventory
- Restraining infringer from disposing assets
- Criminal complaint can also be filed
- Customs authorities can withhold infringing material

Priority Rule

CRITICAL RULE: 'PRIORITY IN ADOPTION PREVAILS OVER PRIORITY IN REGISTRATION' — a prior consistent user of a trademark has rights over a later registrant.

4.17 Case Studies — Trademark Violations

Case 1: Pantaloon vs. Shoppers' Stop, Lifestyle & Westside (2008)

Facts:

- Pantaloon issued ad offering 10% extra discount to loyalty cardholders of rival stores (Shoppers' Stop, Lifestyle, Westside)
- Used rival brand names (First Citizen, etc.) in their advertisement

Outcome:

- Delhi High Court issued injunction restraining Pantaloon from using rivals' names in ads
- Found to be trademark violation and unfair business practice

Case 2: Amul Trademark Case — Gujarat High Court (2007)

Facts:

- 'AmulChasmaghar' and 'Amul Cut Piece Stores' used 'AMUL' trademark for unrelated businesses

Outcome:

- District Court (Anand) held it was a clear case of infringement
- Gujarat High Court upheld the order; ruled in Amul's favour

Case 3: Pharmaceutical Trademark Cases (IPAB)

A. AMOXIL vs. LYMOXYL:

- Beecham Group Plc vs. S.R.K. Pharmaceuticals — AMOXIL registered since 1972 (Class 5)
- Respondent used LYMOXYL since 1985; phonetically and deceptively similar
- IPAB held: respondent dishonestly adopted the mark; prohibited registration of LYMOXYL

B. FORTWIN vs. OSTWIN:

- Ranbaxy Laboratories vs. Anand Prasad — FORTWIN registered since 1975 for pharmaceutical compositions (bone treatment)
- OSTWIN applied by respondent — same suffix 'WIN'; pharmaceutical goods; risk of serious confusion
- Appeal allowed — possible harm to common person justified rejection

C. PACITANE vs. PARKITANE:

- Wyeth Holdings vs. Sun Pharmaceuticals — PACITANE registered in Class 5 (pharma)
- PARKITANE used for same Parkinson's disease treatment goods
- Court: for pharma products, test is POSSIBILITY of confusion (not probability)
- Defendants showed no prior Register search before adopting mark → adoption not honest; injunction granted

D. ARELON vs. ARTEELON:

- ARELON registered in Class 5 (weed killers, vermin destroyers)
- ARTEELON applied for same class — only difference was letters 'TE'
- IPAB: possibility of confusion and deception not ruled out; application for ARTEELON rejected

Case 4: ChipsMore vs. ChipsPlus (Malaysia)

Facts:

- British manufacturer sold 'ChipsMore' cookies in Malaysia for 20+ years with registered TM
- Malaysian company launched 'ChipsPlus' cookies with similar packaging (colors, fonts, composition)

Legal Analysis:

- TM Infringement: 'Chips' part phonetically identical; 'More' and 'Plus' have similar meaning; formatting was similar
- Passing Off: British company had substantial goodwill (20+ years); appearance was strikingly similar; misrepresentation proven

Outcome:

- Court held 'ChipsPlus' infringed 'ChipsMore'
- Passing off claim also successful
- Malaysian company ordered to stop using the mark

QUICK REVISION TABLES

Trade Secret — Key Points Summary

Topic	Key Point
Definition	Formula/pattern/idea/process/info giving competitive advantage
Duration	Indefinite (as long as secrecy maintained)
Registration	NOT required
Key Standard (TRIPS Art. 39)	Must be secret + have commercial value + be subject to reasonable protective steps
vs. Patent	No exclusive right; cheaper; vulnerable to reverse engineering
Best use case	Processes, non-patentable innovations, info that can stay secret >20 years
Main risk	Once public, protection ends; also vulnerable to independent discovery by others

Trademark — Key Points Summary

Topic	Key Point
Definition	Mark graphically representable, distinguishing goods/services from competitors
Two Characteristics	Distinctive + Non-deceptive
Registration Period	10 years; renewable indefinitely
Registration Evidence	Prima facie evidence of validity
Non-registrable (key)	Not distinctive, descriptive, geographical names, chemical names, offensive matter
Infringement	Unauthorized use of registered TM; statutory remedy
Passing Off	Unauthorized use of unregistered TM; common law remedy
Priority Rule	Priority in adoption > priority in registration

Assignment	Permanent, not revocable
License	Temporary, revocable

ALL THE BEST FOR YOUR EXAM! Remember: Read the question carefully, use relevant case names to support trademark answers, and always distinguish between registered (infringement) vs. unregistered (passing off) trademarks.